various technical questions involved before implementing nationalization. For acquisition of the Imperial Bank share capital, a basis similar to the one in respect of the RBI shares was to be adopted. The Finance Minister further announced that government did not have any intention to nationalize other commercial banks.

Accordingly, Deshmukh was requested to place the matter before the Central Board and obtain its suggestions as early as possible. He was also asked to offer suggestions on the various details connected with the proposed nationalization of the Imperial Bank. The matter was considered by the Central Board at its meeting on February 23, 1948, and a resolution was unanimously passed to the effect that at the present stage of the country's political and economic development it was not in the interests of the country to nationalize the RBI and such a step was fraught with danger which could not be fully foreseen at present. But the government had made up its mind and replied that after having given careful consideration to the views of the Central Board, they did not see sufficient justification for revising their decision to nationalize the bank.[13]

Even before the Government's reply was received, a memorandum was prepared in the bank indicating the lines along which nationalization of the bank should proceed; this was circulated to the Board for its consideration. A draft Bill embodying the necessary amendments to the Reserve Bank Act and a copy of the bank's memorandum on the subject were considered by the Committee of the Central Board at its meeting on May 26. The draft Bill as amended by the Committee was forwarded to the Finance Ministry on June 2, 1948, but the government did not concur with the bank on certain provisions.

Deshmukh wanted the government to take responsibility for actions forced on the bank by the government but the Finance Minister thought that the proviso as drafted by the bank was not necessary. The clause ultimately drafted provided for prior consultations with the Governor before giving directions to the bank. The Finance Minister was also opposed to Local Boards but Deshmukh thought they served a useful purpose and what finally emerged was Local Boards of three members each, instead of five members as proposed by the bank. When the Bill was being debated in the Legislature, the number was raised from three to five, which was finally adopted. The government also favoured retention of the clause under which